



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session
Majority Research Staff

HB 2308: dental insurers; dental practice; prohibition

WENINGER FLOOR AMENDMENT

1. Clarifies a dental insurer or a holding company *of a dental insurer* may not have any ownership interest in the business organization.

WENINGER FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2308
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 32-1213, Arizona Revised Statutes, is amended to
3 read:

4 32-1213. Business entities; registration; renewal; civil
5 penalty; exceptions; definitions

6 A. A business entity may not offer dental services pursuant to this
7 chapter unless:

8 1. The business entity is registered with the board pursuant to
9 this section.

10 2. The services are conducted by a licensee pursuant to this
11 chapter.

12 B. The business entity must file a registration application on a
13 form provided by the board. The application must include:

14 1. A description of the business entity's services offered to the
15 public.

16 2. The name of any dentist who is authorized to provide and who is
17 responsible for providing the dental services offered at each office.

18 3. The names and addresses of the officers and directors of the
19 business entity.

20 4. The name of the business entity's custodian of records.

21 5. A registration fee prescribed by the board in rule.

22 C. A business entity must file a separate registration application
23 and pay a fee for each branch office in this state.

24 D. A registration expires three years after the date the board
25 issues the registration. A business entity that wishes to renew a
26 registration must submit an application for renewal as prescribed by the
27 board on a triennial basis on a form provided by the board before the
28 expiration date. A business entity that fails to renew the registration

1 before the expiration date is subject to a late fee as prescribed by the
2 board by rule. The board may stagger the dates for renewal applications.

3 E. The business entity must notify the board in writing within
4 thirty days after any change:

5 1. In the business entity's name, address or telephone number.

6 2. In the officers or directors of the business entity.

7 3. In the name of any dentist who is authorized to provide and who
8 is responsible for providing the dental services in any facility.

9 4. **IN** the name of the business entity's custodian of records who
10 will accept subpoenas and respond to patient records requests.

11 F. The business entity shall establish a written protocol for the
12 secure storage, transfer and access of the dental records of the business
13 entity's patients. This protocol must include, at a minimum, procedures
14 for:

15 1. Notifying patients of the future locations of their records if
16 the business entity terminates or sells the practice.

17 2. Disposing of unclaimed dental records.

18 3. The timely response to requests by patients for copies of their
19 records.

20 G. The business entity must notify the board within thirty days
21 after the dissolution of any registered business entity or the closing or
22 relocation of any facility and must disclose to the board the business
23 entity's procedure by which its patients may obtain their records.

24 H. The board may do any of the following pursuant to its
25 disciplinary procedures if a business entity violates the board's statutes
26 or rules:

27 1. Refuse to issue a registration.

28 2. Suspend or revoke a registration.

29 3. Impose a civil penalty of not more than \$2,000 for each
30 violation.

31 4. Enter a decree of censure.

32 5. Issue an order prescribing a period and terms of probation that
33 are best adapted to protect the public welfare and that may include a
34 requirement for restitution to a patient for a violation of this chapter
35 or rules adopted pursuant to this chapter.

36 6. Issue a letter of concern if a business entity's actions may
37 cause the board to take disciplinary action.

38 I. The board shall deposit, pursuant to sections 35-146 and 35-147,
39 civil penalties collected pursuant to this section in the state general
40 fund.

41 J. **EXCEPT AS PROVIDED IN SUBSECTION O OF THIS SECTION**, this section
42 does not apply to:

43 1. A sole proprietorship or partnership that consists exclusively
44 of dentists who are licensed pursuant to this chapter.

45 2. Any of the following entities licensed under title 20:

46 (a) A service corporation.

47 (b) An insurer authorized to transact disability insurance.

1 (c) A prepaid dental plan organization that does not provide
2 directly for prepaid dental services.

3 (d) A health care services organization that does not provide
4 directly for dental services.

5 3. A professional corporation or professional limited liability
6 company, the shares of which are exclusively owned by dentists who are
7 licensed pursuant to this chapter and that is formed to engage in the
8 practice of dentistry pursuant to title 10, chapter 20 or title 29
9 relating to professional limited liability companies.

10 4. A facility regulated by the federal government or a state,
11 district or territory of the United States.

12 5. An administrator or executor of the estate of a deceased dentist
13 or a person who is legally authorized to act for a dentist who has been
14 adjudicated to be mentally incompetent for not more than one year after
15 the date the board receives notice of the dentist's death or
16 incapacitation pursuant to section 32-1270.

17 K. A facility that offers dental services to the public by persons
18 licensed under this chapter shall be registered by the board unless the
19 facility is any of the following:

20 1. Owned by a dentist who is licensed pursuant to this chapter.

21 2. Regulated by the federal government or a state, district or
22 territory of the United States.

23 L. Except for issues relating to insurance coding and billing that
24 require the name, signature and license number of the dentist providing
25 treatment, this section does not:

26 1. Authorize a licensee in the course of providing dental services
27 for a business entity registered pursuant to this section to disregard or
28 interfere with a policy or practice established by the business entity for
29 the operation and management of the business.

30 2. Authorize a business entity registered pursuant to this section
31 to establish or enforce a business policy or practice that may interfere
32 with the clinical judgment of the licensee in providing dental services
33 for the business entity or may compromise a licensee's ability to comply
34 with this chapter.

35 M. The board shall adopt rules that provide a method for the board
36 to receive the assistance and advice of business entities licensed
37 pursuant to this chapter in all matters relating to the regulation of
38 business entities.

39 N. An individual currently holding a surrendered or revoked license
40 to practice dentistry or dental hygiene in any state or jurisdiction in
41 the United States may not have a majority ownership interest in the
42 business entity registered pursuant to this section. Revocation and
43 surrender of licensure shall be limited to disciplinary actions resulting
44 in loss of license or surrender of license instead of disciplinary action.
45 Dentists or dental hygienists affected by this subsection shall have one
46 year after the surrender or revocation to divest themselves of their
47 ownership interest. This subsection does not apply to publicly held

1 companies. For the purposes of this subsection, "majority ownership
2 interest" means an ownership interest greater than fifty percent.

3 0. A DENTAL INSURER OR A HOLDING COMPANY [OF A DENTAL INSURER] MAY
4 NOT HAVE ANY OWNERSHIP INTEREST IN A BUSINESS ORGANIZATION THAT OFFERS TO
5 THE PUBLIC PROFESSIONAL SERVICES REGULATED BY THE BOARD.

6 P. FOR THE PURPOSES OF THIS SECTION:

7 1. "DENTAL INSURER" HAS THE SAME MEANING PRESCRIBED IN SECTION
8 20-126.

9 2. "HOLDING COMPANY" MEANS A CORPORATION, FIRM, PARTNERSHIP,
10 LIMITED PARTNERSHIP, LIMITED LIABILITY COMPANY, TRUST OR OTHER FORM OF
11 BUSINESS ORGANIZATION THAT IS NOT AN INDIVIDUAL AND THAT DIRECTLY OR
12 INDIRECTLY DOES EITHER OF THE FOLLOWING:

13 (a) HOLDS AN OWNERSHIP INTEREST OF TEN PERCENT OR MORE, AS
14 DETERMINED BY THE HOLDING COMPANY'S BOARD, IN A DENTAL INSURER.

15 (b) HOLDS VOTING RIGHTS WITH THE POWER TO VOTE TEN PERCENT OR MORE
16 OF THE OUTSTANDING VOTING RIGHTS OF A DENTAL INSURER.

17 Enroll and engross to conform

18 Amend title to conform

JEFF WENINGER

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C: MH

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